International Inc

Lindsay Ma



Recommendation summary

- Recommendation: Long buying position
- Significantly undervalued
  - DCF fair value: CAD $100.84
  - Expected returned: 20-30%
- Market Mispricing: Overly cautious view on auto suppliers due to EV transition costs, overlooking Magna's strong EV growth and continued ICE profitability.



Catalysts

- Increased EV launches and increased production
- Focus on Profitability: Lowering expenses for margin improvement
- New OEM deals (e.g., XPENG & INEOS EV assembly contracts)
- Production Efficiency: Finalizing auto production sequences
- Global car production changes





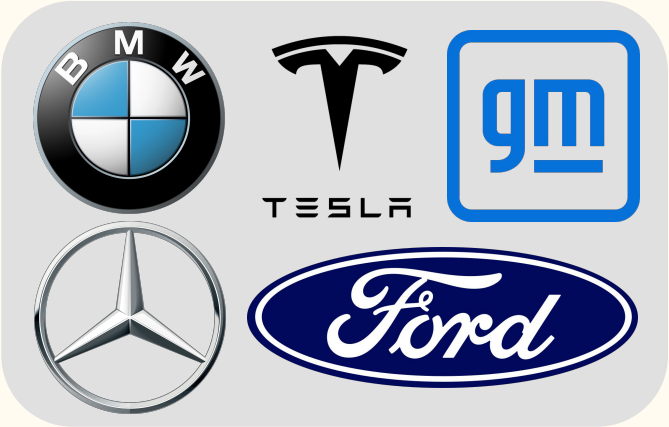
Key Reasons to Invest

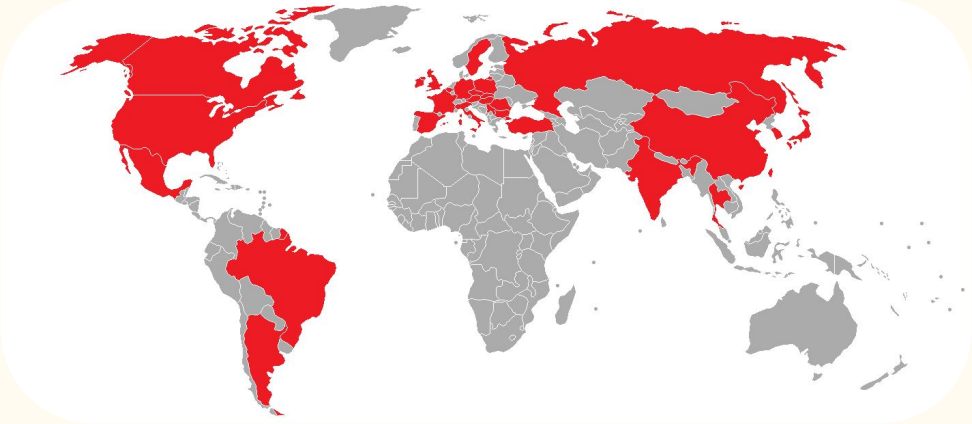
- Macro Recovery: Auto industry production is recovering (long-term economic revival).
- EV Growth Leader: Strong focus on EVs and securing major contracts/partnerships.
- Mispriced Transition: Market expectations are overly negative towards ICE, leading to undervaluation.



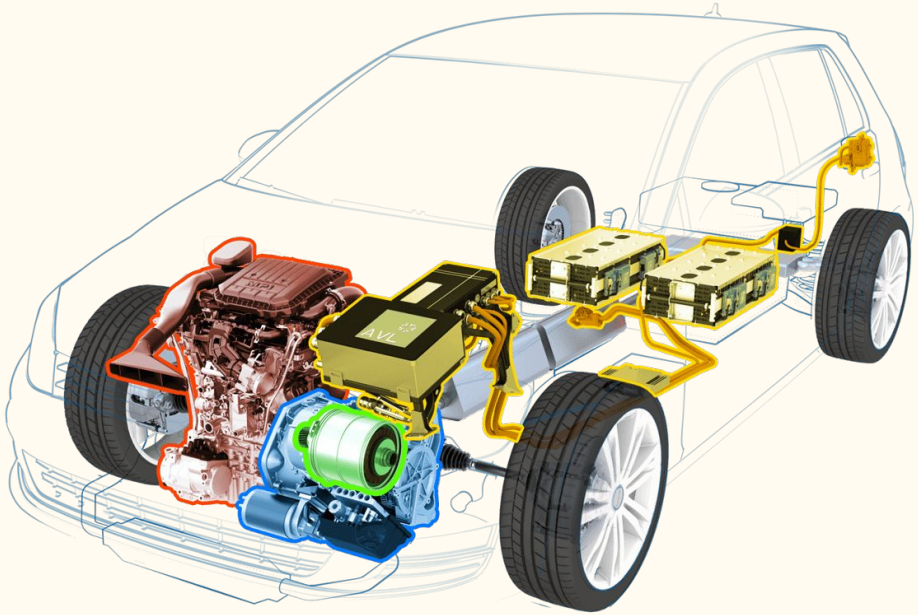
Company Overview

- One of the largest global auto parts suppliers
- Makes seats, body parts, electronics, and more
- Highlighting EV clients: Major clients include key EV players: Tesla, GM, Ford (and luxury: BMW, Mercedes).
- Scale: 443 locations in 28 countries.





Industry Overview



- Auto parts industry improving after supply issues
- EV growth requires demand for new components
- Growth in AI and automation systems
- Recovering production levels from economic revival (long term)

Competitors



BOSCH



ZF GROUP

Continental

DENSO

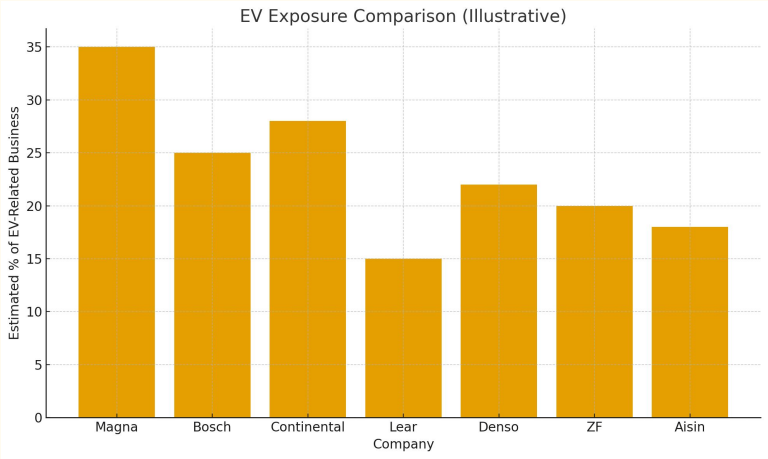


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Competitive Position

- Integrated capabilities (complete vehicle assembly)
- Stronger focus on EVs
- Advanced technology in ADAS (Advanced driver assistance systems)
- Large global manufacturing network





Key Financial Ratios

Value Scorecard

Magna's strengths

Cheap stock

- Low P/E ratio (~13.5x) vs. Industry Avg. (18x) (Cheap)
- Low P/S ratio (~0.33x) vs. Industry Avg. (0.75x) (Very Cheap).

Stable returns

- High Dividend Yield: ~4.09% vs. Industry Avg. (2.5%) (High Returns).

Manageable risk

- Debt to Equity: 0.58x (Manageable Risk).

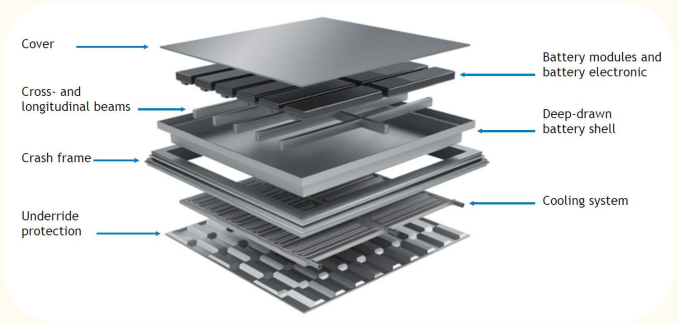
Future growth

- EV/Sales Ratio: 0.48x vs. Industry Avg. (0.79x) (Cheap Exposure).

Recent Company Moves

- New EV platform partnerships
  - I.e., GAC group-2025, Fisker Inc.-2020, etc.
- Increased battery enclosure sector (casing for batteries)
- Joint venture with LG electronics
- Attempts to improve profit margin

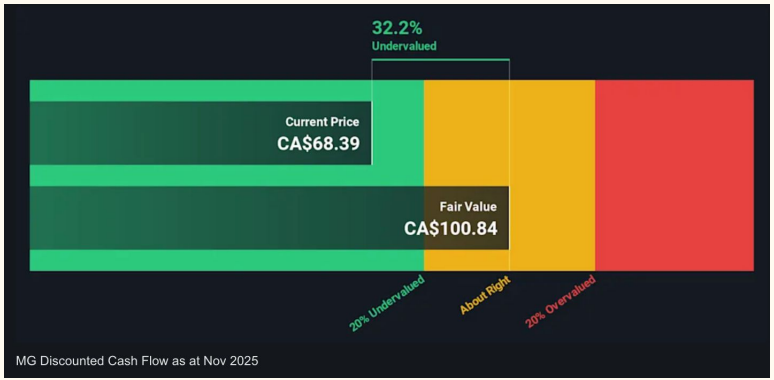




Discounted Cash Flow Summary



Alpha Spread, December 4, 2025



Yahoo Finance, November 28, 2025

- DCF model shows high intrinsic value
- Revenue expected to grow steadily
- Profit margins improve over time
- Key Takeaway: Estimated true value of approximately 20-30% above current market price.
- Base Case Fair Value: CA$100.84

Multiples Summary

- Based on FRA:MGA as of December 5, 2025 (closing)
- Information from stockanalysis.com
- Currency in euros

Magna International Ratios and Metrics

Market cap in millions EUR. Fiscal year is January - December.

Current | Millions | Data Source | Download | Full Width

Fiscal Year	Current	FY 2024	FY 2023	FY 2022	FY 2021	FY 2020	2015 - 2019
Period Ending	Dec 5, 2025	Dec 31, 2024	Dec 31, 2023	Dec 31, 2022	Dec 31, 2021	Dec 31, 2020	2015 - 2019
Market Capitalization	11,853	11,589	15,362	15,030	21,388	17,301	Upgrade
Market Cap Growth	1.79%	-24.56%	2.21%	-29.73%	23.62%	15.62%	Upgrade
Enterprise Value	17,455	17,881	21,440	19,057	24,336	21,100	Upgrade
Last Close Price	41.91	38.38	49.17	47.33	60.61	49.77	Upgrade
PE Ratio	13.46	11.89	14.00	27.13	16.07	27.96	Upgrade
PS Ratio	0.33	0.28	0.40	0.42	0.67	0.65	Upgrade
PB Ratio	1.08	1.00	1.38	1.42	1.99	1.81	Upgrade
P/TBV Ratio	1.54	1.48	2.06	1.90	2.64	2.41	Upgrade
P/FCF Ratio	6.83	8.24	26.16	38.80	15.51	9.92	Upgrade
P/OCF Ratio	3.94	3.30	5.39	7.67	8.27	6.46	Upgrade
EV/Sales Ratio	0.48	0.43	0.55	0.54	0.76	0.79	Upgrade
EV/EBITDA Ratio	4.41	4.58	6.26	6.44	7.52	8.41	Upgrade
EV/EBIT Ratio	9.49	8.75	11.63	12.95	14.45	17.36	Upgrade
EV/FCF Ratio	10.06	12.72	36.52	49.20	17.65	12.10	Upgrade
Debt / Equity Ratio	0.58	0.59	0.59	0.45	0.46	0.51	Upgrade
Debt / EBITDA Ratio	1.68	1.57	1.73	1.43	1.40	1.74	Upgrade
Debt / FCF Ratio	3.67	4.85	11.13	12.25	3.62	2.81	Upgrade
Asset Turnover	1.27	1.35	1.43	1.33	1.26	1.20	Upgrade
Inventory Turnover	8.16	8.46	8.47	8.15	8.39	8.36	Upgrade
Quick Ratio	0.81	0.71	0.69	0.73	0.89	0.99	Upgrade
Current Ratio	1.18	1.08	1.06	1.14	1.30	1.37	Upgrade
Return on Equity (ROE)	8.70%	9.05%	10.89%	5.44%	12.97%	5.92%	Upgrade
Return on Assets (ROA)	3.78%	4.18%	4.24%	3.46%	4.15%	3.42%	Upgrade
Return on Capital (ROIC)	6.11%	6.87%	7.09%	5.73%	6.72%	5.49%	Upgrade
Return on Capital Employed (RO…	9.50%	11.20%	10.70%	9.40%	10.30%	7.90%	Upgrade
Earnings Yield	7.43%	8.41%	7.14%	3.69%	6.22%	3.58%	Upgrade
FCF Yield	14.64%	12.13%	3.82%	2.58%	6.45%	10.08%	Upgrade
Dividend Yield	4.09%	4.81%	3.41%	3.58%	2.52%	2.68%	Upgrade
Payout Ratio	52.47%	53.42%	43.03%	86.82%	33.95%	61.69%	Upgrade
Buyback Yield / Dilution	1.44%	-0.10%	1.58%	3.83%	-0.80%	4.88%	Upgrade
Total Shareholder Return	5.53%	4.70%	4.99%	7.41%	1.73%	7.55%	Upgrade

Source: S&P Global Market Intelligence. Standard template. Financial Sources.

	Market Data				Valuation					
Metric	Price	Market Cap	TEV	Dividend Yield	EV/Sales	EV/EBITDA	EV/EBIT	P/E	P/S	PB
	(€/share)	(€B)	(€B)	(%)	x	x	x	x	x	x
Magna International Inc	41.91	11.85	20.3	4.09	0.48	4.41	9.49	13.46	0.33	1.08
Industry Average		20	35	2.5	0.79	8.5	12	18	0.75	1.5
Summary	N/A	N/A	N/A	High returns	Cheap	Cheap	Cheap	Cheap	Very cheap	Cheap

Mispricing Explanation

- Investors worry too much about EV transition costs
- The importance of Magna's growing EV revenue stream is being overlooked.
- Auto industry recovery slowly occurring
- Economic downtrend from quarantine



Risks	Risk Mitigation
- EV adoption could be slow - Increased raw material costs (steel, aluminum, tariffs) - Strong competition from other auto suppliers - Economic slowdown lowering car production (decreasing demand)	- Magna's product offerings (ICE and EV parts) can mitigate sector-specific risks. - Stop-loss orders (to limit downside if stock drops) - Buy put options (for protection against sudden price declines) - Defensive stocks (diversify with other industries) - Monitor earnings and trends

Final Recommendation



- Long buying position
- Expect a return of about 20-30%
- Main reasons: undervalued, EV growth, economic revival

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Thanks for listening